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Making India Incredible

A lot needs to be done before India's travel and tourism sector's share in the national GDP can match the global average of 10 per cent



N OVERVIEW OF the travel and tourism (T&T) sector globally reveals interesting comparisons. In 2019, the Top 10 tourist destinations were France (90 million tourists), Spain, the US, China, Italy, Turkey, Mexico, Thailand, Germany and the UK (nearly 40 million tourists). In comparison, India received 18 million international tourist arrivals (ITAs), of which 11 million were foreign

tourist arrivals (FTAs) and 7 million were non-resident Indians (NRIs). So, if India's share of the global gross domestic product (GDP) was 3.3 per cent in 2019, its share of FTAs was only 1.22 per cent. This explains why, when T&T contributed 10.3 per cent to total global GDP in 2019, the sector contributed only 6.8 per cent to India's GDP (for Thailand and Spain it was 21.9 per cent and 14.6 per cent, respectively).

In 2019, the T&T sector contributed to nearly 5.7 per cent of direct employment and 7.3 per cent of indirect employment in India. In the same year, the global contribution of this sector to direct employment was

double, at 10.4 per cent.

Tourism in India: The Government of India expects the T&T sector to recover to pre-pandemic levels by mid-2024, and targets India's share of ITAs at 2 per cent of the global total by 2025. By 2024, it is estimated that the T&T sector will contribute \$150 billion to India's GDP (with 15 million FTAs and \$30 billion in foreign exchange), which is expected to grow to \$250 billion by 2030. Even if this target is met, the T&T sector's contribution to India's GDP will be below the global average of 10.3 per cent.

The hotel industry outlook: The Indian hotel industry has traditionally been highly fragmented—of the around 3 million rooms available in India for accommodation, only around 150,000 or 5 per cent are branded (in the US, around 70 per cent are branded). In general, unbranded accommodation options offer relatively poor quality, product and service experience, along with questionable hygiene and safety standards.

As a proxy for hotel demand, the airline industry is projected to double in size between 2020 and 2027. This should lead to a corresponding increase of at least 60 per cent during the same period for hotel room demand. Consequently, all India revenue in the hotel industry will likely grow from an estimated \$32 billion in 2020 to over \$50 billion by 2027.

Future growth in supply (estimated at 4-5 per cent per annum over the next five years) will likely be more rational, driven by institutional ownership, unlike earlier where most supply creation in India was driven by UHNWI (ultra high net worth individual) ownership, often without considering market conditions and/